

DEBT MANAGEMENT PARTNERS v. CALLAHAN

21CF13502

PLAINTIFF'S MOTION FOR JUDGMENT ON THE PLEADINGS

This is a limited jurisdiction debt collection action. Before the Court is an unopposed statutory motion by plaintiff for judgment on the pleadings. This motion comes on the heels of this Court's recent order deeming admitted eight (8) facts, and the genuineness of three (3) documents, identified in plaintiff's Requests for Admission. From the tenor of the moving papers, it would appear to this Court that the pleading plaintiff wants judgment on is its complaint filed 05/12/21, though the motion makes repeated reference to defendant's answer filed 06/30/21.

The request for judicial notice is granted pursuant to Evidence Code §§ 452 and 453.

A statutory motion for judgment on the pleadings is similar to a demurrer, except that the motion (1) can be made at any time 30 days prior to the initial trial date, but (2) only after defendant has answered and (3) only on the grounds of subject-matter jurisdiction or failure to state a cause of action. CCP §438(c)-(f). The rules governing pleading scrutiny are the same as those applicable to demurrers. (*Bezirdjian v. O'Reilly* (2010) 183 Cal.App.4th 316, 321; *Schabarum v. California Legislature* (1998) 60 Cal.App.4th 1205, 1216.) Thus, the motion will be granted only if no claim or defense is stated.

Initially, this Court notes that moving party failed to provide the required meet and confer declaration. (See CCP §439.) Although "a determination by the court that the meet and confer process was insufficient shall not be grounds to grant or deny the motion for judgment on the pleadings," it also cannot be ignored

However, there is a more fundamental problem with the motion. This is the wrong motion to follow RFAs deemed admitted *by a defendant*. Although admitted RFAs are treated as stipulations to the truthfulness of the matters admitted, obviating the need for evidence thereon, the process to use defendant's RFAs toward case disposition is generally with a motion for summary judgment. (See *People v. \$2,709 United States Currency* (2014) 231 Cal.App.4th 1278, 1285; *Sheffield v. Eli Lilly Co.* (1983) 144 Cal.App.3d 583, 611.) While it no doubt seems unduly burdensome to use the summary judgment process with admitted RFAs in hand, the only other option is to attack defendant's answer – but the RFAs here do not negate most of those defenses. An RFA response is preclusive only to the extent required by a literal reading of the request. (*Burch v. Gombos* (2000) 82 Cal.App.4th 352, 359.) Thus, while the RFAs remove the question of defendant taking out the loan and having a balance due, they do not touch upon any of defendant's affirmative defenses.

Plaintiff cites *Evans v. California Trailer Court, Inc.* (1994) 28 Cal.App.4th 540, for the

proposition that a court may take RFAs deemed admitted and rule substantively on a motion for judgment on the pleadings, but in fact *Evans* did not involve RFAs. *Evans* involved a Request for Judicial Notice of a deed, with which neither side took issue.

Based on the foregoing, plaintiff's motion is Denied.

The Clerk shall provide notice of this Ruling to the parties forthwith. No further formal order is required.

MAAG v. LAUGHLIN et al

20CV44843

DEFENDANTS' DEMURRER TO THIRD CAUSE OF ACTION

This is a personal injury action involving an allegedly dangerous stairway at property previously owned by the defendants (and which was allegedly conveyed away to create insolvency). Before the Court is a demurrer, filed by all three named defendants, to the third cause of action stated within the First Amended Complaint, to wit: fraudulent conveyance.

A demurrer tests the legal sufficiency of a pleading by looking only within the “four corners” of the pleading (which includes exhibits attached and incorporated therein) or at matters outside the pleading which are judicially noticeable under Evidence Code §§ 451 or 452. In general, a pleading is adequate if it contains a reasonably precise statement of the ultimate facts, in ordinary and concise language, and with sufficient detail to acquaint a defendant with the nature, source and extent of the claim. (*Southern California Edison Company v. City of Victorville* (2013) 217 Cal.App.4th 218, 227; *Shields v. Hennessy Industries, Inc.* (2012) 205 Cal.App.4th 782, 785.)

California has adopted the Uniform Fraudulent Transfer Act (Civil Code §§ 3439–3439.12), the purpose of which is “to prevent debtors from placing property which legitimately should be available for the satisfaction of demands of creditors beyond their reach.” (*Chichester v. Mason* (1941) 43 Cal.App.2d 577, 584.) A fraudulent conveyance is a transfer by the debtor of property to a third person undertaken with intent to prevent a creditor from reaching that interest to satisfy its claim. (*Nautilus, Inc. v. Yang* (2017) 11 Cal.App.5th 33, 39.) A fraudulent transfer under the Act may be intentional (§ 3439.04(a)(1)) or constructive (§3439.04 (a)(2)). (*Hasso v. Hapke* (2014) 227 Cal.App.4th 107, 122; *Mejia v. Reed* (2003) 31 Cal.4th 657, 669–670; *Yaesu Electronics Corp. v. Tamura* (1994) 28 Cal.App.4th 8, 13.) The First Amended Complaint herein does not specify which version plaintiff seeks to plead, which thus requires this Court to consider both types. For either version, fraudulent conveyance sounds in fraud, and must therefore be plead with particularity (except that insolvency may be pled generally). (See *Wald v. Truspeed Motorcars, LLC* (2010) 184 Cal.App.4th 378, 393–394; *Thompson v. Moore* (1937) 8 Cal.2d 367, 372; *Gray v. Brunold* (1903) 140 Cal. 615, 619.)

The essential elements for an **intentional** transfer are as follows: transfer made (1) by the “debtor” (one who is liable on a claim) (2) with actual intent to hinder, delay or defraud any creditor of the debtor. CC §§ 3439.01(e), 3429.04(a)(1). “Actual intent” may be determined from a number of factors enumerated by statute, commonly referred